measures to address specific areas of pressure in the system. In the event, these facilities were not significantly tapped. In normal times, that would have been seen as a failure of policy. From the crisis perspective though, it was a success inasmuch as the very existence of the central bank backstop restored confidence in the NBFCs and MFs, and smoothed pressures in the financial system.

Similarly, the cut in the repo rate of one full percentage point that I effected in October 2008 was a non-standard action from the perspective of a central bank used to cutting the interest rate by a maximum of half a percentage point (50 basis points in the jargon) when it wanted to signal strong action. Of course, we deliberated the advisability of going into uncharted waters and how it might set expectations for the future. For example, in the future, the market may discount a 50 basis-point cut as too tame. But considering the uncertain and unpredictable global environment and the imperative to improve the flow of credit in a stressed situation, I bit the bullet again and decided on a full percentage-point cut.

Managing the tension between short-term pay-offs and longer-term consequences is a constant struggle in all central bank policy choices as indeed it is in all public policy decisions. This balance between horizons shifts in crisis times, as dousing the fires becomes an overriding priority even if some of the actions taken to do that may have some longer-term costs. For example, in 2008, we saw massive infusion of liquidity as the best bet for preserving the financial stability of our markets. Indeed, in uncharted waters, erring on the side of caution meant providing the system with more liquidity than considered adequate. This strategy was effective in the short-term, but with hindsight, we know that excess liquidity may have reinforced inflation pressures down the line. But remember, we were making a judgement call in real time. Analysts who are criticizing us are doing so with the benefit of hindsight.

The QE, launched by the US Federal Reserve, presents a more high-profile example of the dilemma of balancing short-term compulsions against potential longer-term threats. The Fed’s immediate concern was to repair broken financial markets for which QE was seen as the best policy